ECONOMY 09 | UNION BUDGET AND FISCAL POLICY

1. CONSTITUTIONAL GATE

- Art 112: AFS
- Art 113: grants and charged items
- Art 114: appropriation
- Arts 115-117: adjustment and finance laws

2. THREE FUNDS

- CFI: revenue, borrowing, loan recovery
- Public Account: trust and repayable balances
- Contingency Fund: urgent advance
- Classify ownership and withdrawal rule

3. BUDGET CYCLE

- prepare -> present -> discuss
- committee -> grants -> appropriation
- execute -> account -> audit
- Parliamentary follow-up closes loop

4. RECEIPTS

- Revenue: tax + non-tax
- Capital: liability or asset reduction
- Debt vs non-debt capital receipt
- Gross tax != net tax to Centre

5. EXPENDITURE

- Revenue account: current services
- Capital account: asset/liability change
- Effective capex adds asset grants
- Accounting label != social value

6. DEFICIT FORMULAS

- RD = Rev Exp - Rev Receipts
- ERD = RD - asset grants
- FD = Total Exp - non-debt receipts
- PD = FD - interest

7. VINTAGE CONTROL

- FY24-25 Actuals
- FY25-26 Revised Estimates
- FY26-27 Budget Estimates
- Publication date: 1 Feb 2026

8. FRBM

- Section 3: four policy statements
- Section 4: targets and escape
- Section 5: RBI borrowing boundary
- Sections 6-7: transparency and compliance

9. CURRENT PATH

- FD: 4.4% RE -> 4.3% BE
- Debt: 56.1% RE -> 55.6% BE
- Aim: 50 +/-1% by FY2030-31
- No next-two-year rolling targets in statement

10. HIDDEN RISK

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- EBR and fully serviced bonds
- Guarantee stock vs annual addition
- PSU debt needs case-specific perimeter
- CGA accounts + CAG audit

11. MACRO TRANSMISSION

- automatic vs discretionary
- multiplier and leakages
- crowding out vs crowding in
- r-g + primary balance -> debt dynamics

12. ANSWER SPINE

- define and date
- state formula and legal source
- trace composition and transmission
- qualify perimeter, vintage and risk

Classify -> authorise -> measure -> transmit -> disclose -> qualify